

There is Always a Recession Coming...

YOU HAVE TO hand it to economists; they always seem to see a recession right around the corner.

Let's just look at the recent history here.

In 2016, *The Wall Street Journal*¹⁵³ surveyed a group of economists who “put the odds of the next downturn happening within the next four years at nearly 60%.” There was no recession in 2016. Or 2017, '18, or '19. The primary reason we had a short, sharp recession in 2020 was the COVID-19 pandemic. After the lockdowns ended—and fiscal spigots opened up—the recession came to an abrupt halt. It had begun in February 2020 and by April 2020 it was over.

The CARES Act I was passed by a freaked-out congress—only weeks before they were stalemated over renaming a DC-area library—and signed into law by then President Trump. It was huge, the largest ever fiscal stimulus as a percentage of GDP; at over 10% of GDP, the only fiscal stimulus comparable was the mobilization for World War Two and the Marshall Plan that followed afterwards. Stock markets took off, consumer spending exploded, and a surge of inflation followed closely behind.

After the Covid recession, economists continued forecasting a recession that never came. The closest the US economy came was due to a statistical quirk in how we measure GDP in real (inflation-adjusted) terms. To oversimplify, when the surge of economic activity sent prices higher, those price increases are subtracted from GDP. This made GDP slightly negative for two quarters,¹⁵⁴ even as the economy was overheating. Despite this, the steady drumbeat of recession calls continued throughout 2021 and 2022. Strong consumer demand for goods sent the consumer price index (CPI) surging in the latter half of 2021 and the first half of 2022. By June 2022, inflation had peaked, and it collapsed down to about 3% (year over year), where it has mostly stayed (or fell) for the following 24 months.